



Qualification Programme Examination Panelist's Report

Module 8 – Principles of Auditing (December 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

The multiple choice questions covered principles of professional ethics, inherent risk, control activities, application of test control procedures and substantive procedures, and auditors' responsibilities. In general, the performance of the candidates was satisfactory for questions relating to the principle of professional ethics. The candidates' performance was less satisfactory for questions relating to the classification of control activities and the application of substantive procedures.

Specific Comments

Candidates showed weaknesses in the following areas:

- Identification of the relevant classification of control activities.
- Application of substantive procedure for valuation assertion of inventory.

(II) Section B – Written Questions

General Comments

The written questions covered basic auditing concepts such as directors' responsibilities, the objective of an assurance engagement, code of ethics, risk assessment procedures, understanding of information systems, system audit, audit work on going concern assumption, determination of audit opinion, requirements of the basis of opinion and opinion paragraph, assessment of principal audit risk of account balances and application of substantive procedures.

Candidates did not perform well on some of the questions concerned with basic auditing concepts due to an insufficient understanding of the subject materials. They performed well on some straightforward questions but were not able to apply subject knowledge to the exam questions. The topics candidates did not perform well are as follows: the objective of an assurance engagement, principal audit risk for accounts payable and accruals, system audit, risk assessment procedures for understanding the entity's information system and communication, objectives of performing audit work on going concern assumption and the evaluation of management's assessment of the entity's ability to continue as a going concern by the auditor.



Specific Comments

Question 1(a) – 3 Marks

This question required candidates to describe the objective of an assurance engagement. The question is straightforward. However, some candidates struggled to understand the question and were not familiar with knowledge regarding the topic.

Question 1(b) – 5 Marks

This question required candidates to apply the HKICPA's Code of Ethics to a real-life situation. Most candidates were able to reach the correct conclusion for this question. However, many candidates could not identify the issue of contingent gift.

Question 1(c) – 7 Marks

This question required candidates to suggest substantive audit procedures to audit bank loans and interest expenses. The question is straightforward and the performance was satisfactory. Only a few candidates could point out the recalculation of the split of current and non-current portions of the bank loan for the presentation in the statement of financial position.

Question 1(d) – 4 Marks

This question required candidates to evaluate the appropriateness and sufficiency of audit evidence. The performance was not satisfactory. Candidates were able to reach the conclusion but were not able to logically explain the rationale for such a conclusion.

Question 1(e) – 8 Marks

This question required candidates to determine the audit report based on the analysis of the case given and describe the requirements of the basis of opinion and opinion paragraph. Most candidates were well prepared for this type of question and the performance was satisfactory.

Question 2(a) – 3 Marks

This question required candidates to assess the principal audit risk of accounts payable and accruals. Some candidates misunderstood the question and provided the three components of the audit risk model.

Question 2(b) – 8 Marks

This question required candidates to suggest substantive audit procedures to audit accounts payable and accruals. Some candidates did not understand the audit objectives and assertions of accounts payable and accruals, meaning that they provided irrelevant answers. A few candidates even mixed up accounts receivable and accounts payable.



Question 2(c) – 4 Marks

This question required candidates to list of the procedures of creditors' confirmation. The performance was not satisfactory. Many candidates did not take into consideration of the requirement of HKSA 505 *External Confirmations* and therefore were not able to list out the detailed procedures.

Question 3(a) – 3 Marks

This question required candidates to describe directors' responsibilities throughout the audit process. The question was straightforward and the performance was satisfactory. A few candidates did not focus on the key words "throughout the audit process" and provided answers that were too general.

Question 3(b) – 5 Marks

This question required candidates to list the attributes of a good IT system. This question was straightforward and most candidates were able to demonstrate their good knowledge on this area.

Question 3(c) – 5 Marks

This question required candidates to describe systems audit and list reasons for conducting systems audit. Many students misinterpreted the question and answered how the system of the entity affected the audit work to be performed from the point of view of auditors.

Question 3(d) – 12 Marks

This question required candidates to describe the risk assessment procedures for understanding the entity's information system and communication relevant to the preparation of financial statements. Candidates appeared to be unfamiliar with questions concerning this area and could not provide relevant and thorough answers. The performance was not satisfactory.

Question 4(a) – 2 Marks

This question required candidates to explain the objectives of performing audit work on going concern assumption. Candidates were not able to identify the objectives and provided irrelevant answers.

Question 4(b) – 4 Marks

This question required candidates to explain how to evaluate the appropriateness of the entity's ability to continue as a going concern. Many candidates simply provided a list of procedures to evaluate the management's assessment of going concern without mentioning the requirement of HKSA 570 (Revised) *Going Concern* regarding the time length of the assessment.



Question 4(c) – 7 Marks

This question required candidates to describe the audit report based on the analysis on the case given. Many candidates were able to reach a proper conclusion.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was satisfactory. Candidates performed satisfactorily for the multiple-choice questions. The performance for the written questions was less satisfactory. The candidates displayed a lack of understanding of some basic knowledge on auditing and therefore they did not perform well on application of their knowledge of Auditing and Accounting Standards.

Candidates are advised to put adequate effort into understanding the study materials before taking the exam for this module.

Candidates are reminded to read the questions carefully in order to understand the requirements.